



CIMA Management Case Study

Mock Exam 3

Flatthall

Suggested Solutions

How to use Astranti solutions

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This is so that when you review your own solutions against ours, you can see what you got right and what you got wrong, what you covered in enough depth, and what you missed out.

What an Astranti solution is NOT for

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CIMA solutions

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Industry examples

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Examiners repeatedly emphasise the **importance of wider industry knowledge** and industry examples are the best way to earn the available marks in this area.

Task 1 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject:

Hi Susanna,

The issue

In this report, I will evaluate the problems with conducting an impairment review on the goodwill arising from the acquisition of MainteX and recommend a response to those challenges. I will also identify the difficulties that the company would face when calculating the present value of cash flows resulting from ownership of MainteX and explain how they could be overcome.

Sub-task (a) - 50%: Goodwill impairment

1ai - Problems with conducting impairment review on goodwill

IAS 36 (impairment of assets) requires an entity to regularly check for impairment of its intangible assets. Ideally, testing should be done at least once a year. Goodwill acquired through business combinations should always be reviewed, even though there may be no indication that these assets have been impaired.

An impairment test is important to make sure that the carrying amount of an intangible asset in the statement of financial position - goodwill on acquisition in this case - is not overstated and inflated. This test is usually done annually.

Once the carrying amount of an intangible asset exceeds its fair market value or recoverable amount, that intangible asset is deemed to be impaired. Impairment losses are recognised in the statement of comprehensive income as an expense and are recorded as such.

If the intangible asset has been re-valued and, as a result, has a revaluation surplus in other comprehensive income, then the impairment losses should be offset against this amount first. Any remaining or subsequent impairment losses should be recorded as an expense in the statement of comprehensive income.

In the case of goodwill on the acquisition of MainteX, the impairment of goodwill would be an issue only if the fair value of MainteX has declined between the date of acquisition and

the reporting date or if it is doubtful whether the expected cash flow from future operations will be realised.

It would be difficult to determine the fair value of MainteX as it would be highly difficult to determine observable market values for such an acquisition of a building maintenance company. Also, the value in use of MainteX depends on several projections and assumptions which makes it difficult to determine too.

As MainteX is proposed to be acquired by March 2024 and our reporting date is August 2024, it is highly doubtful whether an impairment review would be needed just five months after the acquisition.

1aii - Responses

Impairment losses would significantly reduce the reported earnings of the group and the concerns raised by the directors need to be considered while evaluating the alternatives.

Carry goodwill at a cost

For the purposes of reporting for the financial year ending August 2024, the Board could simply justify reporting goodwill at cost as of the reporting date with no impairment adjustment, as MainteX would have been our subsidiary for only five months.

This would be a good practical response as an impairment review of goodwill just five months into the acquisition would make shareholders question the investment and also raise doubts about the Board's credibility. A detailed impairment review could then be conducted in the next financial year.

Write off goodwill completely

The Board could justify that the purchase price for MainteX reflects the value of the brand that the company had built over the years for service quality. As MainteX would now become part of the Flatthall group, the brand could be chosen to be discontinued as it would have only 20% spare capacity to service external customers. Also, it is doubtful if the brand could be sold or licensed to an external party.

Hence, to prepare the statement of financial position as of August 2024, the Board could choose to de-recognise the goodwill on the acquisition and write it off entirely. It could justify that a precise valuation of the acquisition is difficult to determine. Such a loss would be recorded as an expense and would reduce the reporting earnings significantly.

Such a write-off would also ensure that there is no need to consider an impairment review of goodwill in future years.

Sub-task (b) - 50%: Present value of cash flows

1b - Difficulties in calculating the present value of cash flows resulting from ownership of MainteX

The method of discounting the present value of future net cash flows expected on the acquisition of MainteX would calculate our organisation's change in wealth if it were to proceed with the acquisition. The rationale for the acquisition appears to be that having an in-house maintenance service provider would reduce the maintenance costs of our buildings while ensuring a standard quality of service.

However, calculating the present value of cash flows has both difficulties and is based on numerous assumptions about the future which might lead to it being inaccurate.

Issue: Obtaining information from MainteX

To determine the possible operational cost savings due to the acquisition, our senior management team should clearly understand the cost of different services provided by MainteX and the staffing costs. Also, its capital structure, the amount of debt/loans, and cash position should be analysed. Therefore, the first challenge is obtaining financial information from MainteX to assess its running costs before we can calculate the expected cash flows that Flatthall will see following the acquisition.

Response

We would need the audited annual reports and/or financial statements of the last few years. Being an unquoted, private company, such information is unlikely to be available in the public domain.

We would need to request the founders share the necessary and relevant information so that we can arrive at a decision. If they show interest in sharing information with us, it would demonstrate their trustworthiness and their willingness to negotiate.

Issue: Future incomes

Currently, it is estimated that MainteX would have around 20% additional capacity to serve external customers. If so, there is the question of whether our competitors would be willing to use the services provided by MainteX.

Response

Detailed market and customer research would need to be undertaken to determine whether there will be demand for MainteX services and which ones, from which potential future cash inflows could be forecast from servicing external customers.

Issue: Cleaning staff costs

We currently employ our own cleaning staff at Flatthall. So, if MainteX is acquired, due to increased automation of the cleaning operations, there could be redundancies for which a one-time redundancy payment would need to be made. Redundancy payments can also vary according to length of service.

Response

We would need to determine both the cost of redundancies (how many staff members would be replaced by the automated system and their individual payouts based on service), and then weigh this against any savings due to a reduction in labour costs. Most of the required data would be available internally, but we will also need to ask MainteX to share running costs, times and output for the automated system.

Issue: Discount factor

To determine the present value of net cash flows, we would need to discount them using an appropriate rate called discount factor or the cost of capital. Even a small change in the discount factor would have a major impact on the present value of cash flows and perhaps even change the valuation of MainteX entirely.

Response

There are various methods of determining the discount factor. For instance, it is common to use the Weighted Average Cost of Capital (WACC) of the firm or a hurdle rate which is the rate of return on the investment required by an investor. Or, we could choose to adopt a model like the Markowitzian, which takes into account the risk factor and incorporates a premium for risk in the discount rate.

Issue: Perpetuity

Beyond a timeline of 3-5 years, if even that, it becomes very difficult to project cash flows with accuracy as there are multiple factors involved in the determination of future cash flows, many of which would not be under the control of the management and cannot be

reasonably predicted. For example, changes in interest rates, economic recession, changes in customer demand, and even new competition can all significantly impact cash flows yet are beyond our control. Assuming anything, be it costs or revenue, would hold in perpetuity is not really practical.

Response

We can put together a team with members drawn from both Flatthall and MainteX to carry out preliminary investigations to determine the potential costs and revenues of MainteX.

Other than determining straightforward costs like lease and staff costs, we need to determine the activity drivers that drive the costs of shared services. Once the drivers are identified, it will be easier to understand which cash flows are relevant for decision-making.

Regards,

FM

Task 2 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject: BI system and expanding the capacity of MainteX

Hi Susanna,

The issue

In this report, I will explain how the introduction of a Business Intelligence (BI) system is likely to affect the approach to leadership of the group. I will also evaluate arguments for and against making an immediate investment in expanding the operating capacity of the newly acquired company MainteX.

Sub-task (a) - 40%: Business Intelligence System

2ai - Impact of a BI system on the leadership of the group.

Transparency in leadership

We currently have a functional structure with centralised control. In such a structure, each function tends to operate in silos. Each function might not have clear communication with the other. For instance, the property cleaning and inspections are under the purview of our Operations Director, Dai Linlin, whereas the Customer Service Director is in charge of repairs and maintenance. To ensure rooms are ready for occupation by students at the beginning of their academic year, both these departments need to work together.

However, with the introduction of the proposed Business Intelligence system and dashboards, which can be accessed by the relevant managers, communications become quicker and more transparent. The BI system would help both departments track which rooms are still not ready for occupation and ensure the relevant staff take on the responsibility. Now, with the acquisition of MainteX, it could be possible to raise a service request to the maintenance and cleaning staff and track the completion of work.

Participation in leadership

Currently, we adopt a centralised, top-down approach to leadership, where the middle managers can also access relevant data. For instance, a building concierge in a particular

city would be able to view the rent trends in their area and give input on whether the rents charged by our company are reflective of the market trend.

Now that we would be using the services of MainteX for building maintenance, the concierge would be able to compare the cost of a particular service in the past when local contractors were employed and the cost of in-house maintenance services. They would also be able to identify potential areas where operational efficiencies can be improved and cost savings made.

Data-driven and proactive leadership

Instead of a reactive approach to issues that might arise, a BI system might foster a more proactive leadership approach that is driven by data and information. Business decisions like sales forecasts, cost planning, and employee bonuses would be driven by solid data, leading to an enhanced customer experience.

Using a BI system, we could track changes in legislation and building council rules at both national and city levels, determine the implications for us, and act proactively to ensure such changes are adopted. For instance, there could be a particular change in fire safety regulations, such as a requirement for sprinkler systems in all buildings above a certain capacity. The BI system would not only provide this information but also ensure both our operations director and our property portfolio director receive this information on time, coordinate with one another, devise a plan, and use the services of MainteX to proactively ensure the new fire safety regulations are met.

Sub-task (b) - 60%: Expanding the operating capacity of MainteX

Background

We have acquired MainteX, a company that would provide building maintenance and cleaning services. MainteX has a presence in 214 cities in Towland, of which we have PBSA buildings in 157 locations. It is proposed that the operations of MainteX be expanded to include the 17 locations where we have PBSA buildings but MainteX do not have a presence.

2bi - Arguments for expanding the operating capacity of MainteX

Increased motivation of MainteX employees

Usually, on acquisition, the employees of the acquired company would be worried about changes in the terms and conditions of their employment. They would also be worried about possible redundancies. All this would lead to demotivation and dissatisfaction among the staff of MainteX.

If we invest in expanding MainteX's operations, it will send a clear message to its employees, from directors to technical staff, of our intention to run the company as a going concern efficiently and effectively.

MainteX brand is associated with providing cost-effective services and well-mannered professionals. Also, staff retention is high at MainteX not only because the wages are higher than the industry norms but also because of the respectful work culture. If Flatthall were to invest in expanding the operations of MainteX, this would ensure the staff that the current status quo would be maintained in future, too, leading to greater motivation among them.

Expertise of founders

MainteX is owned by two brothers who founded it 32 years ago. They have agreed to stay on as consultants for a year. Therefore, it would be ideal to capitalise on their knowledge, experience and rapport with employees, customers and suppliers in order to expand the operations.

The quality of service depends on the quality of the staff recruited and the quality of training given. If we could set up operations in the 17 new locations before the founders leave, there is a good likelihood that the new staff quality, training and expertise would be on par with MainteX's existing standards. We can also offer redeployments for existing staff to move to the new locations and share their experience and expertise with new recruits.

The experience of working closely with the founders and existing staff to expand into new locations would help us in the future, too, when we venture into new cities.

Uniformity in cleaning and maintenance services at Flatthall

At Flatthall, our commitment to quality enables us to maintain a strong brand that attracts students and enables us to develop relationships with academic institutions. There is very little difference between the rent charged by various PBSA providers in our

country. Hence, we compete based on quality of service and promotion. For instance, we thoroughly clean and decorate the interiors of our buildings during the summer months so that they are fresh and inviting for the students.

Now that we have acquired MainteX, our cleaning and maintenance services will not only be of high quality but also be uniform across our buildings serviced by PBSA. It would make sense to expand the operations of MainteX into these 17 new locations to ensure we maintain our competitive advantage.

2bii - Arguments against expanding the operating capacity of MainteX

Financial considerations

It is not clear how the acquisition of MainteX would be funded. Though we have a strong balance sheet, we need to consider the fact that we borrowed an additional T\$600m in 2023 as compared with the previous year.

Investing in the expansion of MainteX would require additional funds, which would be raised through equity or debt. Either of these would place additional financial stress on our organisation over and above the financial implications of the acquisition. The shareholders might feel that expanding so soon after the acquisition is financially risky and might not support the decision.

Possible integration issues

Any acquisition, however well-planned and strategised, will face certain roadblocks in the post-acquisition period. There could be issues with change in leadership, work culture, communication challenges, and technology integration. It would be advisable to wait a while before making further investments in the expansion of MainteX, ensuring that any initial issues are resolved in the transition period.

Management time

This acquisition and subsequent post-acquisition integration activities might take up an inordinate amount of senior management time. This could lead to a loss of focus in the core business activities like expanding our operations, customer engagement, and relationships with academic institutions in existing and new locations. Therefore, it would not be advisable to invest in expanding the operating capacity of MainteX at this time.

The possibility of expansion could be revisited with the Board once the subsidiary is up and running as smoothly as possible and we have a clearer idea of the profitability of MainteX services, which we can then use to leverage funding for additional locations.

I hope this report has covered all the issues you raised. Let me know if you require any further information.

Regards,

FM

Task 3 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject:

Hi Susanna,

The issue

In this report, I will identify one reputation risk and one contractual inadequacy risk that could arise from using the services of MainteX and explain why each of those risks would be difficult to manage. I will then evaluate the difficulties associated with setting appropriate transfer prices between Flatthall and MainteX and recommend responses to those difficulties. Finally, I will also discuss the implications of adopting market-based prices, dual pricing and negotiated prices.

Sub-task (a) - 40%: Reputation risk and contractual inadequacy risk

3ai - Reputation risk and contractual inadequacy risk

Reputation risk - redundancies of cleaning staff

We are the market leaders in the PBSA industry and have created good relationships with students, institutions, and local councils over the years. We also differentiate on the basis of our quality.

Now that we have acquired MainteX and integrated their services – both for building maintenance and cleaning – we face the risk of a dilution in brand value and loss of reputation due to the proposed redundancy of cleaning staff.

Individually, employees, though they may have high interest and stake in decisions made, usually have low power. But if they unite together and form a group/union they would have greater bargaining power. Also, as noted, certain local councils are not happy with the redundancy decision. If the employees have the backing of local councils, they can not only challenge our decision but also obtain even greater bargaining power.

These issues might lower our reputation in the eyes of the academic institutions and students who might now give first preference to our competitors.

This risk would be difficult to manage as it cannot be transferred or avoided. The very purpose of acquiring MainteX was to reduce the cost of our operations, so staff redundancies are inevitable, and hence we need to accept this risk and take steps to mitigate any impact.

We would need to open a consultation period where we can negotiate with staff, understand their concerns, communicate clearly and transparently with them and take steps to ensure the redundancies are smooth. and perhaps even make redundancy payments over and above the legal requirements.

Contractual inadequacy risk

We have acquired MainteX primarily for the quality of its services. We have also entered into an agreement where, in the locations where we have our PBSA buildings, MainteX would need to allocate 75% of its staff time and other resources to service our buildings. But, as we can see from the current transfer pricing issues, merely agreeing contractual terms does not guarantee service quality and availability.

There is the risk that post-acquisition MainteX staff and managers are assured of regular service requests, and hence the quality of service rendered to Flatthall is lower than their pre-acquisition service quality to customers. They would no longer find the need to differentiate based on service quality to get orders, so their motivation to provide high-quality service will be diminished.

This is a risk that we need to accept, so we must find ways of reducing the negative impact of this risk. Importantly, we should not penalise staff for reduced quality as this could damage the friendly and respectful workplace culture of MainteX. Instead, perhaps giving non-financial incentives to staff at MainteX will provide the motivation needed to continue providing high-quality service.

Sub-task (b) - 60%: Transfer pricing

3bi - Difficulties associated with setting appropriate transfer prices between Flatthall and MainteX

The issue

Ideally, transfer prices will be set in a manner that aligns responsibility centre managers' interests with those of the entity as a whole. When that occurs, managers will have an incentive to trade with one another, which benefits the company.

But, in the current case, it can be seen that the concierge chooses to get the required service from a local contractor as the rates are lower than the service rates charged by MainteX, which adds a 25% margin. Without the margin factor, I believe the cost of in-house services would be lower than that of the external contractor. Importantly, choosing not to use the services of MainteX will increase our overall operating costs.

Difficulties in setting prices

The organisation as a whole would benefit if the excess capacity of MainteX left after serving external customers is optimally utilised. However, as per the terms of the acquisition, it is agreed that 75% of staff and resources would be allocated to meet the needs of Flatthall, instead of preventive maintenance, the time when a particular service cannot be predicted. It could very well be possible that there are periods when the maintenance staff are idle as there are no orders either from Flatthall or from external customers. Therefore, ascertaining the opportunity cost of each service request would be difficult.

For instance, there could be a plumbing issue in our building at Capital City. When the concierge raises a service request, it could be that all the plumbers of MainteX are fully booked, and to prioritise servicing Flatthall, a particular external order might need to be cancelled. So, the manager of MainteX feels justified in charging a margin of 25% above cost in order to switch orders. This means the concierge feels justified in using a local contractor to resolve the issue instead because of the lower rates and the immediate availability. This would lead to dysfunctional behaviour across the organisation.

Market-based transfer pricing

Market prices would work if MainteX is at full capacity and has the ability to service external customers so there is no benefit for the company as a whole to do an internal transfer over an external sale. This is not the case here as demand for MainteX's services from external customers who are Flatthall's competitors has been reduced due to the acquisition.

It is to be noted that arriving at a true market cost can be difficult as service providers could charge differently for the same service, and being a market leader, we would command discounts from external contractors.

It would be beneficial for the organisation as a whole if, after servicing external customers, which could even be greater than the contracted 25%, MainteX could allocate the spare capacity to service Flatthall at cost.

Dual pricing approach

We could also consider a dual pricing approach where MainteX is credited with cost plus margin, but the buildings are debited at marginal cost. Using two prices has two key advantages. Firstly, MainteX can record a profit on each transfer. This provides an incentive for the manager in charge to supply the service. Secondly, the building concierge makes the right decision in choosing the best supplier to minimise the costs for the company as a whole.

The only drawback is that the debits and credits on each transfer do not match. To remedy this, the difference is debited to a group account known as a transfer pricing adjustment account. This amount is subtracted from the group's overall profit at the end of the period to ensure the accounts remain in balance.

Goal congruence for our organisation as a whole would be achieved only if dual pricing is adopted for orders which tap into the spare capacity remaining at MainteX after it has fulfilled external customer orders.

We need to note that this approach is a complicated and time-consuming method, especially as there would be a large number of transactions between Flatthall and MainteX.

Negotiated pricing approach

In a truly autonomous system where business units operate independently, transfer prices should be simply agreed on by the managers themselves.

The manager responsible for repairs and maintenance could discuss the matter with the sales manager of MainteX and agree on a fair price and margin. The owners, who are now consultants, could also be present at the meeting to provide advice and guidance.

The assumption here is that the managers should be competent to negotiate suitable prices for themselves, but it could very well be that the managers might not reach an agreement. Also, there is the risk that such negotiations do not lead to goal congruence. This could be resolved by independent mediation or intervention from the senior management team.

Let me know if you need anything else from me.

Regards,

FM

Task 4 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject:

Hi Susanna,

The issue

In this report, I will discuss why the acquisition of MainteX might increase the Weighted Average Cost of Capital (WACC) of Flatthall and the possible implications. I will also evaluate the suggestion that Total Quality Management (TQM) should be implemented at MainteX to ensure quality of service.

Sub-task (a) - 50%: WACC

3ai - Impact of acquisition of MainteX on WACC of Flatthall

Higher equity in capital structure

The Weighted Average Cost of Capital (WACC) for Flatthall is the weighted average costs of its equity and debt. As additional equity worth T\$600m has been issued, which is a 140% increase in equity share capital, the proportion of equity in the capital structure will increase. This will lead to an increase in WACC as the cost of equity is higher than the cost of debt due to the higher risk taken by equity investors in terms of both return and capital appreciation.

Shareholder expectations and risk perception drive up WACC

The increase in WACC will be even greater if the shareholders of Flatthall believe that investment in MainteX is risky, and they would expect an even greater return on their investment, leading to an increase in the cost of equity. However, this uncertainty would only be temporary and will persist until it becomes clear whether the additional profits earned from acquiring MainteX justify the equity issued.

This might put pressure on Flatthall's Board to ensure the shareholders are provided with the rate of return expected by them, or else it would lead to a decline in share price which might negatively impact the credibility of our Board. We currently pay out 37% of our earnings as dividends, which is slightly lower than that of our competitor Duvett, which

pays 40% of earnings as dividends. If the earnings available to equity shareholders and the dividend paid to them are reduced as a result of the acquisition of MainteX, the share price could decline.

Impact on borrowings

Between 2022 and 2023, our borrowings increased by 27%. Now, our share capital has increased by 140%. If lenders become nervous about the group's ability to cover the running costs of the new subsidiary, they might demand earlier debt repayment and charge higher interest rates on future borrowings.

Impact on future investments

A bad or mismanaged investment increases the WACC, which in turn could restrict future growth opportunities. An increased WACC usually leads to an increase in the Internal Rate of Return (IRR), i.e. the discount rate at which the present value of net cash flows from an investment is zero.

Sub-task (b) - 50%: TQM

3bi - Implementing TQM at MainteX

Customer focus

We are the market leaders in PBSA accommodation, and our critical success factor is our focus on quality. We aim to provide students with excellent customer service, of which maintenance and cleaning play a major role in their experience as our tenants.

Unhappy students post negative comments on social media, which impacts our brand and discourages potential tenants. Even if the issues raised are addressed, it will take some time for sufficient positive reviews to be posted to offset the negative feedback.

So, implementing TQM at MainteX is consistent with our approach of proactively meeting the needs of our student tenants and preventing unhappy customers.

Continuous improvement

Flatthall is in a good position to encourage continuous improvement at MainteX. Our experience maintaining 174 buildings and dealing with independent contractors for maintenance work like plumbing and electricity would have given us deep insights into the

standard procedures for maintenance work and our quality expectations. Also, to date, we have employed cleaning staff for our buildings.

Such information, if clearly documented, could help inform MainteX about our expectations. Now that MainteX is our subsidiary, we could implement a system of continuous improvement where the focus is on making small, incremental changes to improve the maintenance and cleaning services.

Business process re-engineering

A business process is a set of activities that are ordered in a way to achieve a task or objective in the organisation, such as a routine maintenance process or automated cleaning process. Business process re-engineering is the analysis and design of workflows and processes to fundamentally rethink how MainteX can operate to cut operational costs and improve service quality.

Business process re-engineering aims to design the optimum process, which may not involve using those currently in place. As a result, it identifies non-value-adding activities and allows management to remove them. However, this can be very time-consuming to implement, making it a very expensive exercise.

Possible issues with TQM

Ultimately, we need to recognise that it would be difficult to set uniform standards for the services provided by MainteX as many of them would be non-routine.

Also, though it is desirable to prevent complaints from our student tenants, it might not always be cost-effective to do so. Close supervision and management time would be needed to ensure quality standards are being met and this could prove to be expensive or perhaps not even feasible with staff availability.

Ultimately, to successfully implement TQM in MainteX, we need management and staff buy-in. This might cause resentment as, to date, MainteX was an independent company, well respected for its cost-effective and quality services, and staff at MainteX might not be motivated to change the status quo.

I hope I have addressed all of your requests. Let me know if you have any questions.

Regards,

FM

Marking matrix

Task	Topic	Core activity	%	Marks	Total
1a	Impairment review of goodwill	D	50	12	25
1b	Present value of cash flow calculations	A	50	13	
2a	BI system and impact on leadership	C	40	10	25
2b	Investing in expanding the operating capacity of the acquired company - pros and cons	B	60	15	
3a	Risk identification and management	D	40	10	25
3b	Difficulties with transfer pricing and responses	E	60	15	
4a	Impact of acquisition on increasing the WACC	A	50	12	25
4b	Total Quality Management	C	50	13	
					100

Marking guidance

Task 1		
(a)	D. Measure performance	50%
(b)	A. Evaluate opportunities to add value	50%

D. Measure performance (12 marks)		50%
1ai - Evaluation of problems with conducting impairment review of goodwill		6 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-2
Level 2	Some understanding demonstrated of the problems with conducting an impairment review of goodwill. Technical clarity, accuracy and/or application to the scenario might be lacking.	3-4
Level 3	Very good understanding demonstrated of problems with conducting impairment review of goodwill with clear, accurate explanations and detailed application to the given scenario.	5-6
1aii - Response to the problems identified above		6 marks

	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-2
Level 2	Some understanding demonstrated of responses to the issues identified in Task 1a(i). Technical clarity, accuracy and/or application to the scenario might be lacking.	3-4
Level 3	Very good understanding demonstrated of responses to the issues identified in Task 1a(i) with clear, accurate explanations and detailed application to the given scenario.	5-6

A. Evaluate opportunities to add value (13 marks)		50%
1bi - Difficulties in calculating the present value of cash flows resulting from ownership of MainteX		6 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-3
Level 2	Some understanding demonstrated of the difficulties in calculating the present value of cash flows resulting from ownership of MainteX. Technical clarity, accuracy and/or application to the scenario might be lacking.	4-5

Level 3	Very good understanding demonstrated of the difficulties in calculating the present value of cash flows resulting from ownership of MainteX with clear, accurate explanations and detailed application to the given scenario.	5-6
1bii - Responses to the issues identified above		7 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-3
Level 2	Some understanding demonstrated of responses to issues identified in Task 1b(i). Technical clarity, accuracy and/or application to the scenario might be lacking.	4-5
Level 3	Very good understanding demonstrated of responses to issues identified in Task 1b(i) with clear, accurate explanations and detailed application to the given scenario	6-7

Task 2		
(a)	C. Manage performance and costs to aid value creation	40%
(b)	B. Implement senior management decisions	60%

C. Manage performance and costs to aid value creation (10 marks)		40%
2ai - Impact of BI system on leadership of the group		10 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-3
Level 2	Some understanding demonstrated of the impact of the BI system on the leadership of the group. Technical clarity, accuracy and/or application to the scenario might be lacking.	4-7
Level 3	Very good understanding demonstrated of the impact of BI system on leadership of the group with clear, accurate explanations and detailed application to the given scenario	8-10

B. Implement senior management decisions (15 marks)		60%
2bi - Arguments for expanding the operating capacity of MainteX		8 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-3
Level 2	Some valid points made for expanding the operating capacity of MainteX. Technical clarity, accuracy and/or application to the scenario might be lacking.	4-6
Level 3	Very good points for expanding the operating capacity of MainteX with clear, accurate explanations and detailed application to the given scenario.	7-8
2bii - Arguments against expanding the operating capacity of MainteX		8 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-2
Level 2	Some valid points were made against expanding the operating capacity of MainteX. Technical clarity, accuracy and/or application to the scenario might be lacking.	3-5
Level 3	Very good points made against expanding the operating capacity of MainteX with clear, accurate explanations and detailed application to the given scenario.	6-7

Task 3		
(a)	D. Measure performance	40%
(b)	E. Manage internal and external stakeholders	60%

D. Measure performance (10 marks)		40%
3ai - Reputation risk (5 marks) and contractual inadequacy risk (5 marks)		10 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-3
Level 2	Some understanding demonstrated of the possible reputation and contractual inadequacy risk. Technical clarity, accuracy and/or application to the scenario might be lacking.	4-7
Level 3	Very good understanding demonstrated of the possible reputation and contractual inadequacy risks with clear, accurate explanations and detailed application to the given scenario.	8-10

E. Manage internal and external stakeholders (15 marks)		60%
3bi - Discussion of difficulties in setting appropriate transfer prices and any one transfer pricing approach		7 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-2
Level 2	Some understanding demonstrated of the difficulties of setting transfer prices and one transfer pricing approach is briefly discussed. Technical clarity, accuracy and/or application to the scenario might be lacking.	3-4
Level 3	Very good understanding demonstrated of the difficulties of setting transfer prices and one transfer pricing approach is discussed in detail with clear, accurate explanations and detailed application to the given scenario.	5-7
3bii - Discussion of two transfer pricing approaches		8 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-3
Level 2	Some understanding demonstrated of transfer pricing approaches and their implications. Technical clarity, accuracy and/or application to the scenario might be lacking.	4-6

Level 3	Very good understanding demonstrated of transfer pricing approaches and their implications with clear, accurate explanations and detailed application to the given scenario.	7-8
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Task 4		
(a)	A. Evaluate opportunities to add value	50%
(b)	C. Manage performance and costs to aid value creation	50%

A. Evaluate opportunities to add value (12 marks)		50%
4ai - Discussion of why the acquisition of MainteX might increase the WACC of Flatthall and the possible implications		12 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-4
Level 2	Some understanding demonstrated of why the acquisition of MainteX might increase the WACC of Flatthall and the possible implications. Technical clarity, accuracy and/or application to the scenario might be lacking.	5-8
Level 3	Very good understanding demonstrated of why the acquisition of MainteX might increase the WACC of Flatthall and the possible implications with clear, accurate explanations and detailed application to the given scenario.	9-12

C. Manage performance and costs to aid value creation (13 marks)		50%
4bi - Evaluate the suggestion that Total Quality Management should be implemented at MainteX to ensure quality of service		13 marks
	No rewardable material	0
Level 1	Little or no rewardable material here. Little or no understanding and application here.	1-4
Level 2	Some explanation given of implementing TQM in MainteX. Technical clarity, accuracy and/or application to the scenario might be lacking.	5-8
Level 3	Very good understanding demonstrated of implementing TQM at MainteX with clear, accurate explanations and detailed application to the given scenario.	9-13